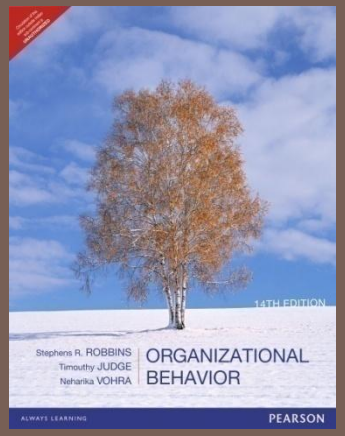


ORGANIZATIONAL BEHAVIOR

Groups

Reference: Robbins, Judge, and Vohra Organizational Behavior, 14th Edition
Dorling Kindersley (India) Pvt. Ltd, Authorized adaptation from the United States edition of *Organizational Behavior, 14e*

Lesson 7

Defining and Classifying Groups

Group:

- Two or more individuals interacting and interdependent, who have come together to achieve particular objectives

- Formal Group:
  - Defined by the organization's structure with designated work assignments establishing tasks (organization establishes the group with defined work tasks and outcomes)
- Informal Group:
  - Alliances that are neither formally structured nor organizationally determined
  - Appear naturally in response to the need for social contact
  - Deeply affect behavior and performance
- Informal groups can have a significant influence on behavior and performance. That is not part of the organizational structure.

Subclassifications of Groups

Formal Groups

- Command Group
  - A group composed of the individuals who report directly to a given manager
- Task Group
  - Those working together to complete a job or task in an organization but not limited by hierarchical boundaries

Informal Groups

- Interest Group
  - Members work together to attain a specific objective with which each is concerned
- Friendship Group
  - Those brought together because they share one or more common characteristics

Social Identity

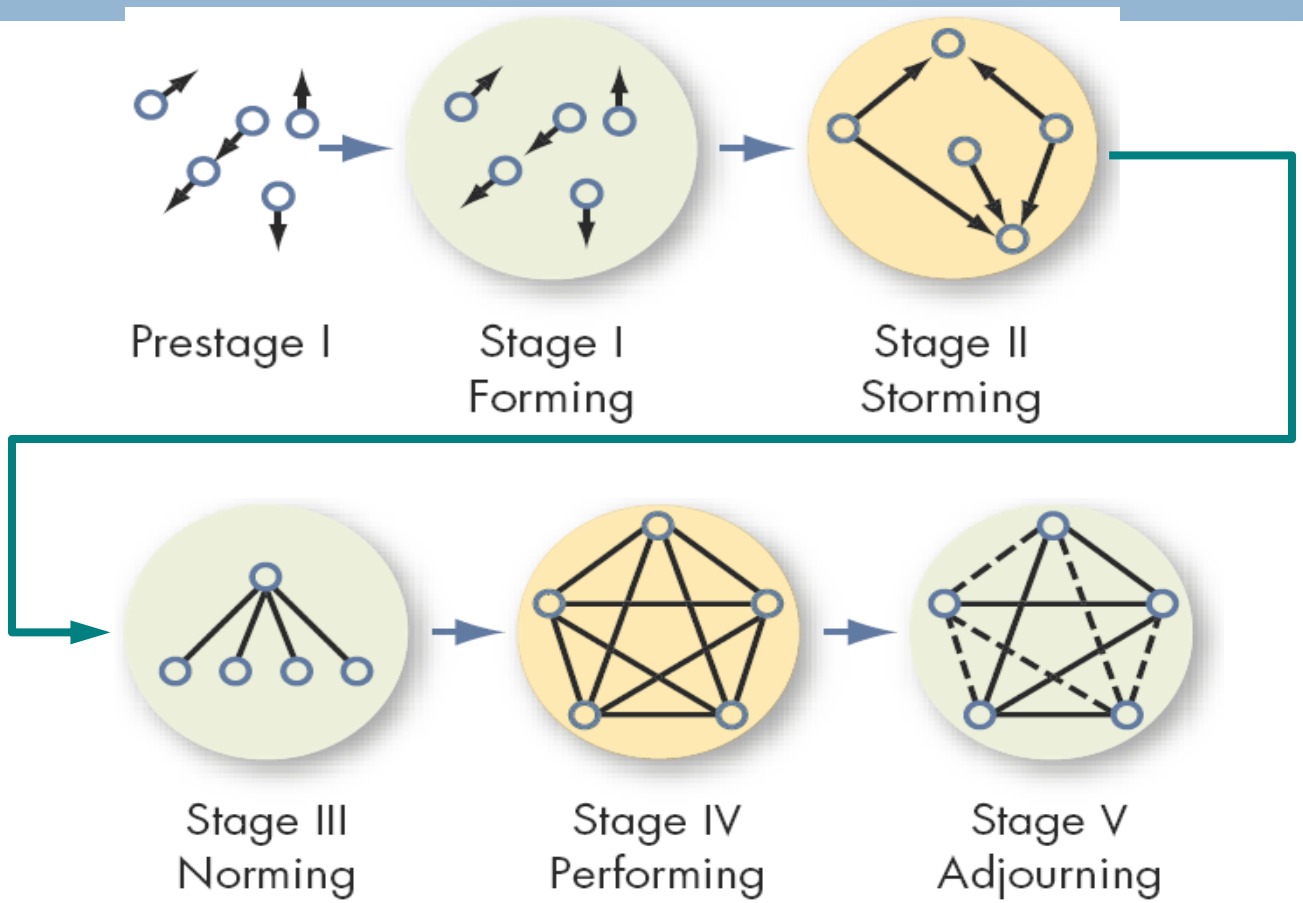
- Perspective that considers when and why individuals consider themselves members of groups.

Why People Join Groups – Social Identity

- Similarity
- Distinctiveness (uniqueness)
- Status (rank, category)
- Uncertainty Reduction (People also join groups to reduce uncertainty as a way to maintain a sense of who they are and how they fit into this world.)

There are many reasons that people will join groups. However, the social identity theory suggests that people have emotional reactions to the failures or successes of a group because their self-esteem gets tied into the performance of the group. Social identity is developed when the characteristics of similarity, distinctiveness, status, and uncertainty reduction are present. Members of groups often join groups of people who are similar to them, however, they want there to be a distinctiveness to the group. Since people define themselves by groups they are connected to, they will tend to want to be a part of high-status groups. People also join groups to reduce uncertainty as a way to maintain a sense of who they are and how they fit into this world.

Five Stages of Group Development Model



The five-stage group development model characterizes groups as moving through five distinct stages in the group process. They are forming, storming, norming, performing, and adjourning.

The Five Stages of Group Development

1. Forming
   - Members feel much uncertainty as group members figure out their roles and the group norms
2. Storming
   - Lots of conflict between members of the group (The storming stage occurs as the roles are continued to be developed and conflict arises between group members.)
3. Norming
   - Members have developed close relationships and cohesiveness (As members develop closer relationships and a sense of cohesiveness they move into the norming stage.)
4. Performing
   - The group is finally fully functional (When the group is functioning well together and achieving their goals they are in the performing stage.)
5. Adjourning
   - In temporary groups, characterized by concern with wrapping up activities rather than performance

Critique of the Five-Stage Model

- Assumption: the group becomes more effective as it progresses through the first four stages
  - Not always true – group behavior is more complex
  - High levels of conflict may be conducive to high performance
  - The process is not always linear
  - Several stages may occur simultaneously
  - Groups may regress (go back)
- Ignores the organizational context

Although the five-stage development model is widely accepted there are some critiques of the model. The assumption that the group becomes more effective through each of the stages is somewhat suspect. The process is not always that linear and several stages may occur at the same time.

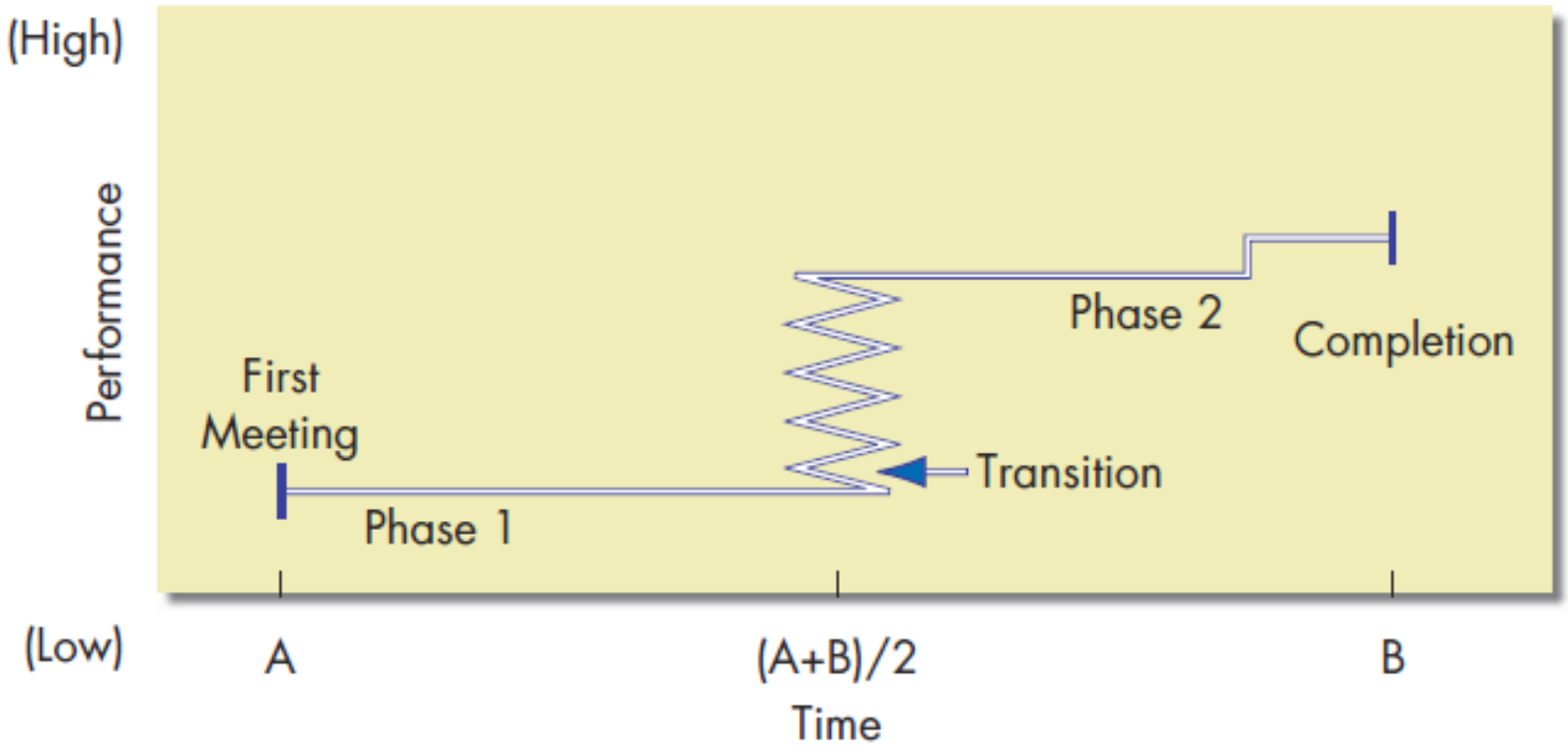
An Alternative Model for Group Formation

Temporary groups with deadlines don't follow the five-stage model

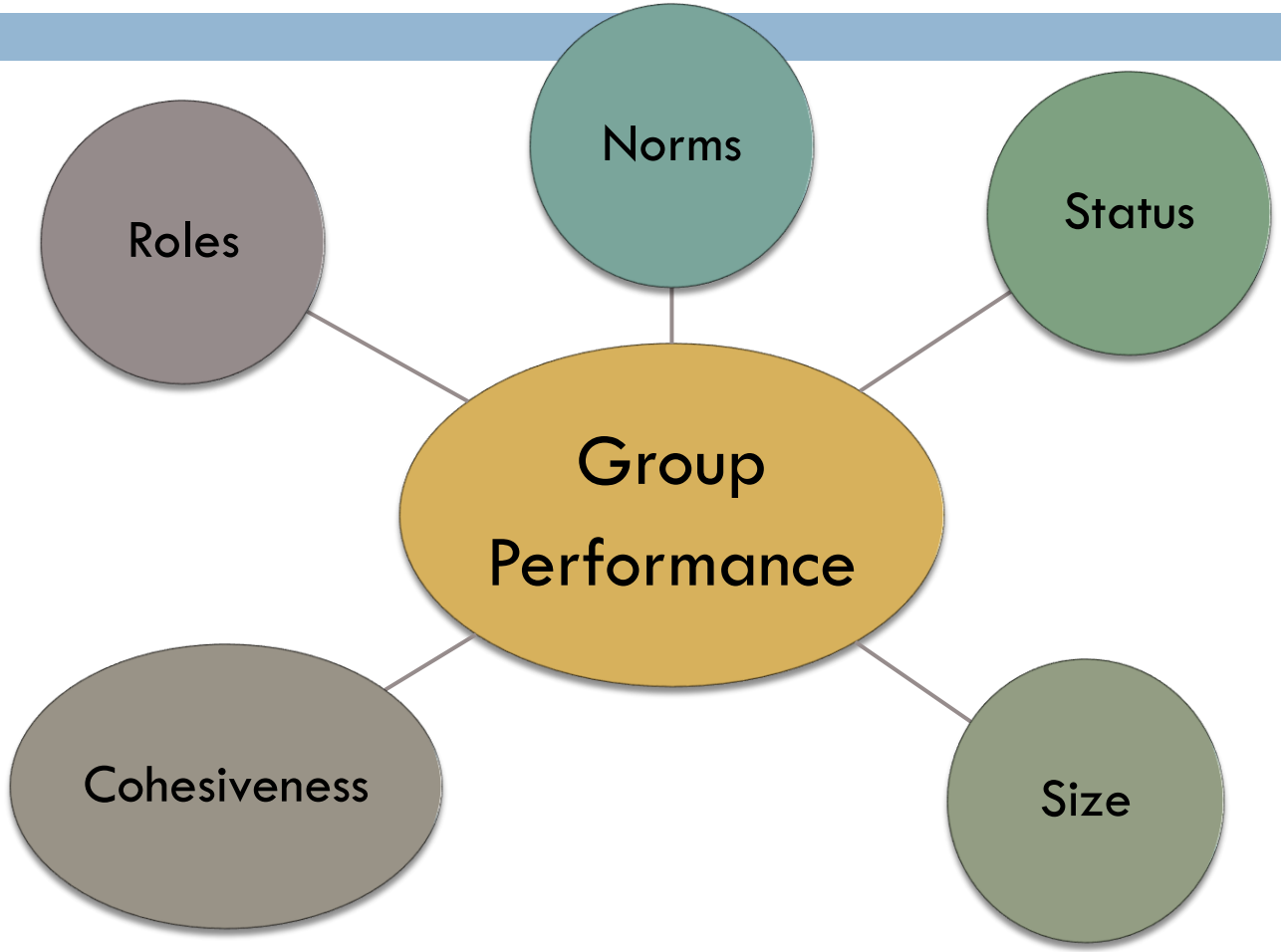
- Punctuated-Equilibrium Model
  - Temporary groups under deadlines go through transitions between inertia (inaction) and activity—at the halfway point, they experience an increase in productivity.
  - Sequence of Actions
    1. Setting group direction
    2. First phase of inertia
    3. Half-way point transition
    4. Major changes
    5. Second phase of inertia
    6. Accelerated activity

The Punctuated-Equilibrium Model offers an alternative model of group formation for groups with deadlines. Groups that are temporary in nature tend to go through their own unique sequence of actions. These include setting the group direction, the first phase of inertia, a half-way point of transition, major changes, a second phase of inertia and accelerated activity.

Punctuated-Equilibrium Model



Group Properties



There are several properties of groups that help shape group behavior and explain and predict individual behavior. They are roles, norms, status, size, and cohesiveness.

Group Property 1: Roles

Role

- A set of expected behavior patterns attributed to someone occupying a given position in a social unit

- Role Perception
  - An individual's view of how he or she is supposed to act in a given situation
- Role Expectations
  - How others believe a person should act in a given situation
  - *Psychological Contract*: an unwritten agreement that sets out mutual expectations of management and employees
    - judge is viewed as having propriety and dignity, while a football
    - coach is seen as aggressive, dynamic, and inspiring to the players.
- Role Conflict
  - A situation in which an individual is confronted by divergent role expectations (Family – Work)

Zimbardo's Prison Experiment

- Set up a fake prison using student volunteers
- Randomly assigned student volunteers to guard and prisoner roles
- Within six days, the experiment was halted due to following concerns:
  - Guards had dehumanized the prisoners
  - Prisoners were subservient
  - Fell into the roles as they understood them
  - No real resistance felt

Zimbardo conducted a prison experiment at Stanford University where he randomly assigned students to the role of guards and prisoners. He set up a fake prison in the psychology building on Stanford's campus and made the experiment as realistic as possible. Within six days the guards and prisoners had taken to their roles in such a way that the experiment was halted due to concerns about the impact on the participants. The guards took their role seriously and treated the prisoners with disdain and disrespect. In response, the prisoners, even though they were only assigned the role, were subservient to the guards. They could have fought back or rebelled but they fell into the role and took the negative behavior of the guards as if they were truly prisoners.

Group Property 2: Norms

Norms

- Acceptable standards of behavior within a group that are shared by the group's members

- Classes of Norms
  - Performance norms - level of acceptable work
  - Appearance norms - what to wear
  - Social arrangement norms - friendships and the like
  - Allocation of resources norms - distribution and assignments of jobs and material

Norms are standards of behavior that are acceptable by group members. There are different types of norms such as performance norms that look at an acceptable work level or quality or appearance norms about what to wear. Social arrangement norms look at acceptable relationships and allocation of resources norms look at how things are distributed.

Group Norms and the Hawthorne Studies

A series of studies undertaken by Elton Mayo at Western Electric Company's Hawthorne Works in Chicago between 1924 and 1932

Research Conclusions

- Worker behavior and sentiments were closely related
- Group influences (norms) were significant in affecting individual behavior
- Group standards (norms) were highly effective in establishing individual worker output
- Money was less a factor in determining worker output than were group standards, sentiments, and security

The Hawthorne studies were conducted in the 1920/30's. Their findings have been widely used in the understanding of group interactions. These studies found that worker behavior was highly influence by group norms and that individual productivity was influenced by the standards the group set forth. Also, money was not as important in determining worker output as group standards and sentiments were.

Group Dynamics

- Physical environment and productivity
- As they increased the light level for the experimental group of workers, output rose for that unit and the control group.
- But as they dropped the light level, productivity continued to increase. In fact, productivity in the experimental group decreased only when the light intensity was very low.
- researchers believed that group dynamics, rather than the environment, influenced behavior

Status

- isolated a small group of women assembling telephones so their behavior could be more carefully observed
- this small group's output increased steadily, and the number of personal and sick absences was approximately one-third of that in the regular production department.
- group's performance was significantly influenced by its "special" status.

Norms

- A wage incentive plan was then introduced in the bank wiring observation room.
- employees did not individually maximize their output.
- It operated well below its capability, using norms that were tightly established and strongly enforced.

Norms and Behavior

- Conformity
  - Gaining acceptance by adjusting one's behavior to align with the norms of the group
- Reference Groups
  - Important groups to which individuals belong or hope to belong and with whose norms individuals are likely to conform

Asch's studies

- Demonstrated the power of conformity
- Culture-based and declining in importance

Group norms and behavior are based on conformity where individuals will gain acceptance with the group by changing their behavior to more closely match that of the group. Individuals will match their behavior to reference groups, groups they see as important. The Asch studies furthered our understanding of conformity and demonstrated the power of conformance. Asch set forth a series of experiments where the answers were fairly easy and straightforward.

Defying Norms: Deviant Workplace Behavior

- Deviant Workplace Behavior
  - Also called *antisocial behavior* or *workplace incivility*
  - *Voluntary behavior that violates significant organizational norms and, in doing so, threatens the well-being of the organization*
  - <u>Typology</u>:
    - Performance – working speed
    - Material – damage and stealing
    - Interpersonal – favoritism, gossip, and sexual harassment

Some individuals do not like to conform and adhere to set norms due to a number of reasons. Individuals of this nature may engage in deviant workplace behavior or behavior that goes against organizational norms and hinders the desired outcomes of the organization.

Exhibit 9-3 Typology of Deviant Workplace Behavior

Category	Examples
Production	Leaving early Intentionally working slowly Wasting resources
Property	Sabotage Lying about hours worked Stealing from the organization
Political	Showing favoritism Gossiping and spreading rumors Blaming coworkers
Personal aggression	Sexual harassment Verbal abuse Stealing from coworkers

Group Influence on Deviant Behavior

- Group norms can influence the presence of deviant behavior
- Simply belonging to a group increases the likelihood of deviance
- Being in a group allows individuals to hide – creates a false sense of confidence that they won't be caught

Group norms can discourage deviant behavior because the group won't accept the behavior. But group membership can also encourage deviant behavior because the individual will feel like they can hide in the group and the chance of being caught is lowered.

Group Property 3: Status

Status

- A socially defined position or rank given to groups or group members by others – it differentiates group members
- Important factor in understanding behavior
- Significant motivator

Status Characteristics Theory

- Status derived from one of three sources:
  - Power a person has over others
  - Ability to contribute to group goals
  - Personal characteristics

Status is another group property and refers to the position or rank given to groups or their members in a way to differentiate members. Status can influence behavior and has been found to be a significant motivator.

The status characteristics theory suggest that status is derived by one of three sources: the power a person has over others; the ability to contribute to group goals; or personal characteristics.

Status Effects

- On Norms and Conformity
  - High-status members are less restrained by norms and pressure to conform
  - Some level of deviance is allowed to high-status members so long as it doesn't affect group goal achievement
- On Group Interaction
  - High-status members are more assertive
  - Large status differences limit diversity of ideas and creativity
- On Equity
  - If status is perceived to be inequitable, it will result in various forms of corrective behavior.

Status can have an impact on a number of things in groups. First, it can impact norms within a group where high-status members don't feel the need to conform to group norms, but can pressure others to conform. Second, it can impact group interaction where members who hold more status tend to be more assertive and can hinder new ideas being presented. Finally, it impacts perceived equity in a group which will influence how engaged others are in the group process.

Group Property 4: Size

Size

- Twelve or more members is a "large" group
- Seven or fewer is a "small" group

- Group size affects behavior
- Best group sizes based on requirement:

Attribute	Small	Large
Speed	X	
Individual Performance	X	
Problem Solving		X
Diverse Input		X
Fact-finding Goals		X
Overall Performance	X	

Size is an important factor in group behavior as well and impacts the behavior in groups. The larger the group, the harder it is to get contribution by all members and do so in a timely manner. Whereas small groups can be limited in their problem-solving ability and the availability of resources could be limited.

Issues with Group Size

Social Loafing

- The tendency for individuals to expend less effort when working collectively than when working individually
- *Ringelmann's Rope Pull:* greater levels of productivity but with diminishing returns as group size increases
- Caused by either equity concerns or a diffusion of responsibility (*free riders*)

- Managerial Implications
  - Build in individual accountability
  - Prevent social loafing by:
    - Setting group goals
    - Increasing intergroup competition
    - Using peer evaluation
    - Distributing group rewards based on individual effort

Group Property 5: Cohesiveness

Cohesiveness

– Degree to which group members are attracted to each other and are motivated to stay in the group

- Managerial Implication
  - To increase cohesiveness:
    - Make the group smaller.
    - Encourage agreement with group goals.
    - Increase time members spend together.
    - Increase group status and admission difficulty.
    - Stimulate competition with other groups.
    - Give rewards to the group, not individuals.
    - Physically isolate the group.

Group Decision Making vs. Individual Choice

- Group Strengths:
  - Generate more complete information and knowledge
  - Offer increased diversity of views and greater creativity
  - Increased acceptance of decisions
  - Generally more accurate (but not as accurate as the most accurate group member)
- Group Weaknesses:
  - Time-consuming activity
  - Conformity pressures in the group
  - Discussions can be dominated by a few members
  - A situation of ambiguous responsibility

Group Decision-Making Phenomena

- Groupthink
  - Situations where group pressures for conformity deter the group from critically appraising unusual, minority, or unpopular views
  - Hinders performance
- Group shift
  - When discussing a given set of alternatives and arriving at a solution, group members tend to exaggerate (overstate) the initial positions that they hold. This causes a shift to more conservative or more risky behavior.

Group Decision-Making Techniques

Made in interacting groups where members meet face-to-face and rely on verbal and nonverbal communication.

- Brainstorming
  - An idea-generating process designed to overcome pressure for conformity
- Nominal Group Technique (NGT)
  - Works by restricting discussion during the decision-making process
  - Members are physically present but operate independently
- Electronic Meeting
  - Uses computers to hold large meetings of up to 50 people

Evaluating Group Effectiveness

	Type of Group			
Effectiveness Criteria	Interacting	Brain-storming	Nominal	Electronic
Number and Quality of Ideas	Low	Moderate	High	High
Social Pressure	High	Low	Moderate	Low
Money Costs	Low	Low	Low	High
Speed	Moderate	Moderate	Moderate	Moderate
Task Orientation	Low	High	High	High
Potential for Interpersonal Conflict	High	Low	Moderate	Moderate
Commitment to Solution	High	N/A	Moderate	Moderate
Development of Group Cohesiveness	High	High	Moderate	Low

This grid helps to evaluate the effectiveness of groups based on various criteria and type of group.

Global Implications

- Status and Culture
  - The importance of status varies with culture
  - Managers must understand who and what holds status when interacting with people from another culture
- Social Loafing
  - Most often in Western (individualistic) cultures
- Group Diversity
  - Increased diversity leads to increased conflict
  - May cause early withdrawal and lowered morale
  - If the initial difficulties are overcome, diverse groups may perform better

Summary and Managerial Implications

- Performance
  - Typically, clear role perception, appropriate norms, low status differences and smaller, more cohesive groups lead to higher performance

- Satisfaction
  - Increases with:
    - High congruence between boss and employee's perceptions about the job
    - Not being forced to communicate with lower-status employees
    - Smaller group size

Effective group processing can increase performance and job satisfaction. Performance with groups is highly tied to group cohesiveness. Satisfaction can be increased with a congruence of goals, a recognition of member's need for status, and smaller group size.